

Rising inflation expectations will trigger rate hikes but not in April

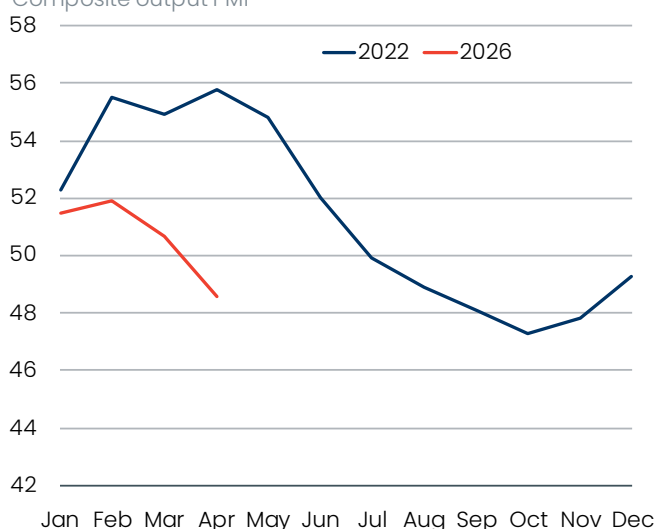
- We expect no policy change from the ECB at this week's meeting as the council has signalled its willingness to wait-and-see a little longer. Energy prices aren't far enough above the ECB's forecast assumptions, while negotiation attempts between US and Iran sustain the bias towards assuming a short conflict. Surveys also suggest a more front-loaded economic hit than in 2022, dampening worries about second-round effects.
- Gauging the council's current reaction function will be the main task for the April meeting. We will look for signals on how the council sees the growth and inflation trade-off in the current economic environment and how worried the ECB is about risks of inflation expectations and underlying inflation rising materially, despite the much lesser initial cost-push shock than in 2022.
- We think the data needs to show sufficient evidence of second-round effects to push the ECB into action, but the bar is low. We expect signs of rising inflation expectations, a resilient labour market, contained economic damage and accelerating core inflation to trigger rate hikes in June and July. This modest tightening balances the inflicted economic costs and the ECB's aim of capping second-round effects.

It's all but guaranteed that the ECB will stay put at this week's council meeting keeping the deposit rate at 2%. This is in line with the wait-and-see modus the central bank signalled at the [March meeting](#) and more recent council communication. Essentially, there hasn't been enough news on the four factors that will determine the policy response. And the news we have points to the economy already taking some damage, easing the risks of large increases in underlying inflation, thus lessening the immediate pressure on the ECB to act ([Chart 1](#)).

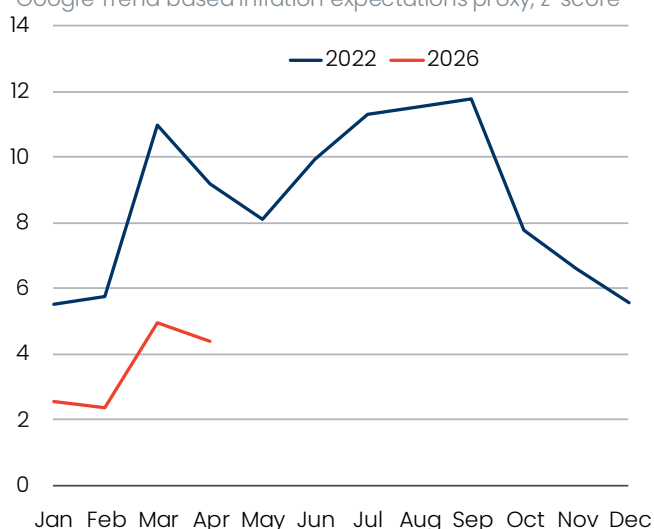
Chart 1: Economic damage is more front-loaded and rises in inflation expectations less material than in 2022

Eurozone: Growth-inflation trade-off in 2022 and 2026

Composite output PMI



Google Trend based inflation expectations proxy, z-score



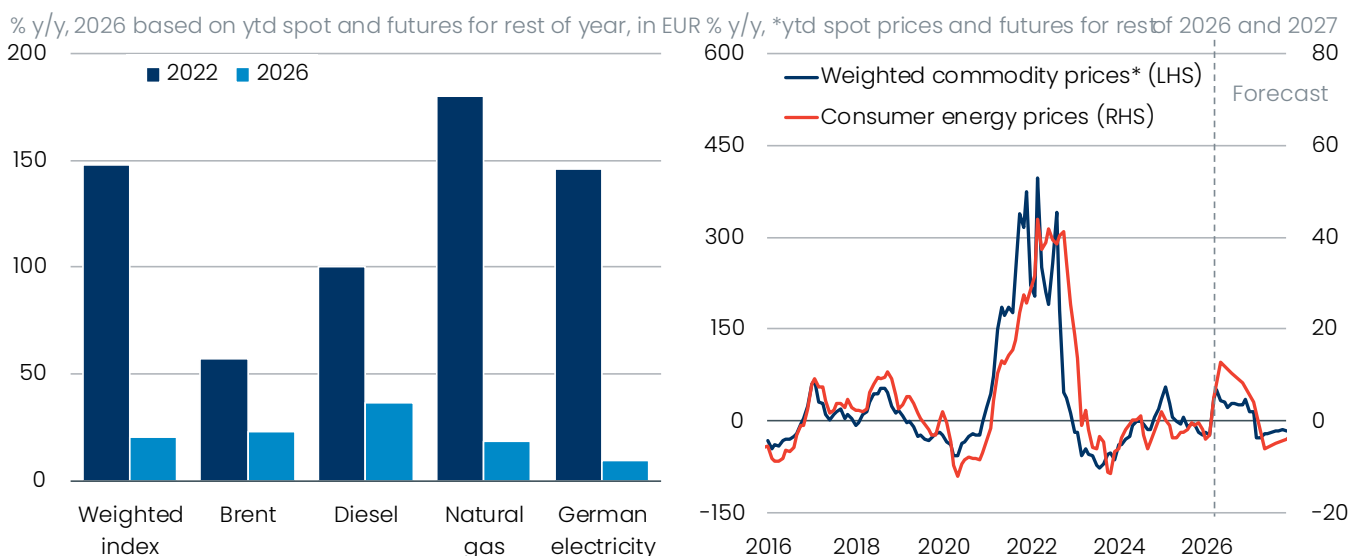
Sources: Oxford Economics, Haver Analytics, S&P Global, Google Trends

Commodity price driven cost-push shock still broadly in line with ECB baseline

The first factor the ECB council is likely to discuss is the scale of the rise in commodity prices as that is driving the initial inflation surge. The news is mildly encouraging on that front. Spot and future pricing remain broadly in line with the ECB's baseline assumption for energy prices. While oil prices are higher, gas and electricity prices are roughly unchanged or even a bit lower. Indeed, the limited response of European electricity prices remains a key differentiator to the 2022 inflation surge as we [highlighted](#) early on ([Chart 2](#)). Broadly speaking, the energy cost push shock currently priced by energy futures is about one eighth of the one seen in 2022.

Chart 2: Limited rise in electricity prices keeps a lid on cost-push pressures

Eurozone: Commodity prices and consumer energy prices



Sources: Oxford Economics, Haver Analytics

Fiscal policy responses to dampen the impact from higher energy prices have also gained traction across Europe. For instance, Germany will temporarily cut fuel taxes, lowering headline inflation by a few tenths of a percent during that time. Meanwhile, price gains of non-energy commodities are more mixed. Industrial metal prices are up sharply as supply bottlenecks add to pre-existing demand pressures, while agricultural price gains have only reversed previous falls and remain broadly range bound. This, too, is a material difference to 2022.

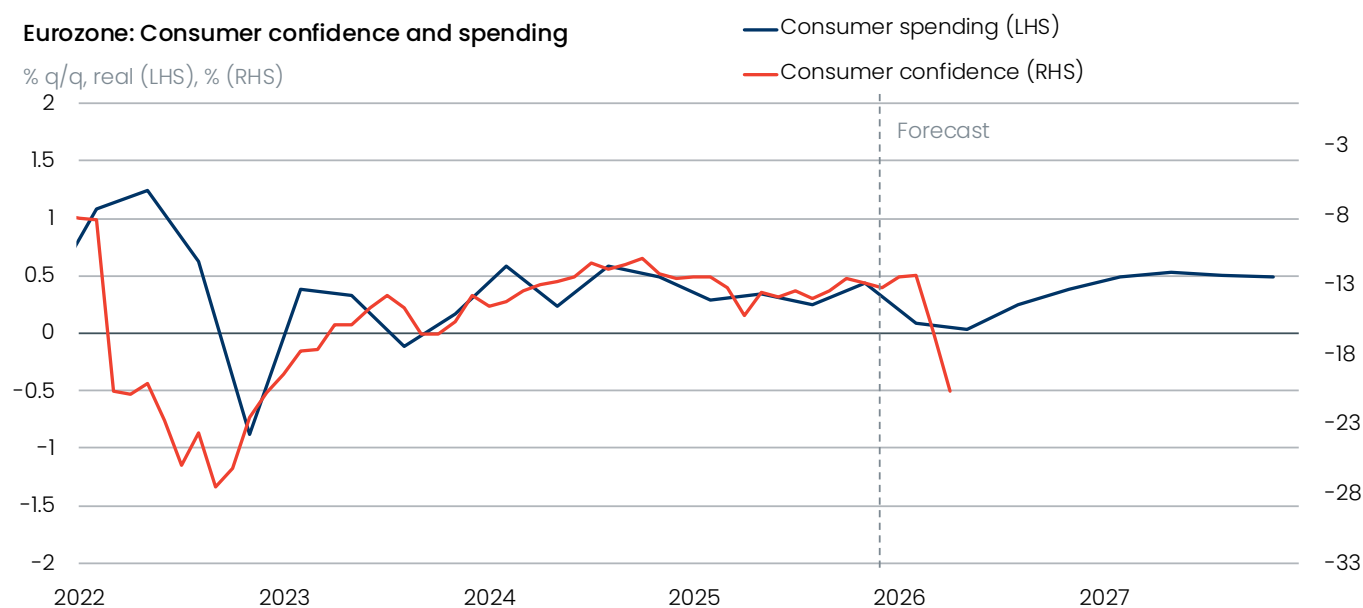
However, this will likely be of limited comfort for the ECB council. The current market equilibrium, where spot energy prices respond to the conflict-related news flow, while futures continue to price a material rise in price dampening energy exports from the Middle East into H2 2026, is fragile. Releases of strategic oil reserves and the emptying of floating oil storage have kept a lid on prices for now. But as has been true from the start of the war, the longer the conflict drags on, a much larger price surge becomes more likely. It is simply hard to imagine a geopolitical scenario that lies in the middle between the ECB's baseline and adverse scenario with the Strait of Hormuz "half open". So, from a risk management perspective, odds of a kneejerk response of energy markets down the line could favour an early but cautious monetary policy response.

Early signs of economic pain signal less adverse growth-inflation trade off

The second factor determining the ECB reaction also favours remaining in a wait-and-see mode. Although we do not yet have any hard data showing the direct impact on the economy, early surveys suggest that activity is likely already being affected. The April PMIs signal economic contraction at the start of Q2, while consumer confidence

points to a fall in spending ([Charts 1 and 3](#)). Surveys often overstate the immediate impact on hard data, so we don't want to overemphasize the odds of a GDP contraction in Q2. Nonetheless, the available surveys clearly point to downside risks to the ECB's and our own downwardly revised forecasts, showing only a modest expansion in the current quarter. Taken at face value, this would argue for a less material passthrough of the cost shock to consumer prices as weak demand undermines corporate pricing power. In a scenario, where the growth hit is material while underlying price pressures remain contained, the ECB would likely opt to see through the initial inflation spike.

Chart 3: Drop in consumer confidence signals spending caution even if it may overstate risk of contraction



Sources: Oxford Economics, Haver Analytics

The ECB will get flash GDP readings for Q1 ahead of the press conference, so this will add some insight into the economic costs of the energy price shock as other hard data is generally available only up to February. But irrespective of the outcome, the sharp fall in surveys in April means the Q1 data is stale and not helpful in determining the policy response.

Feed-through to underlying inflation pressures

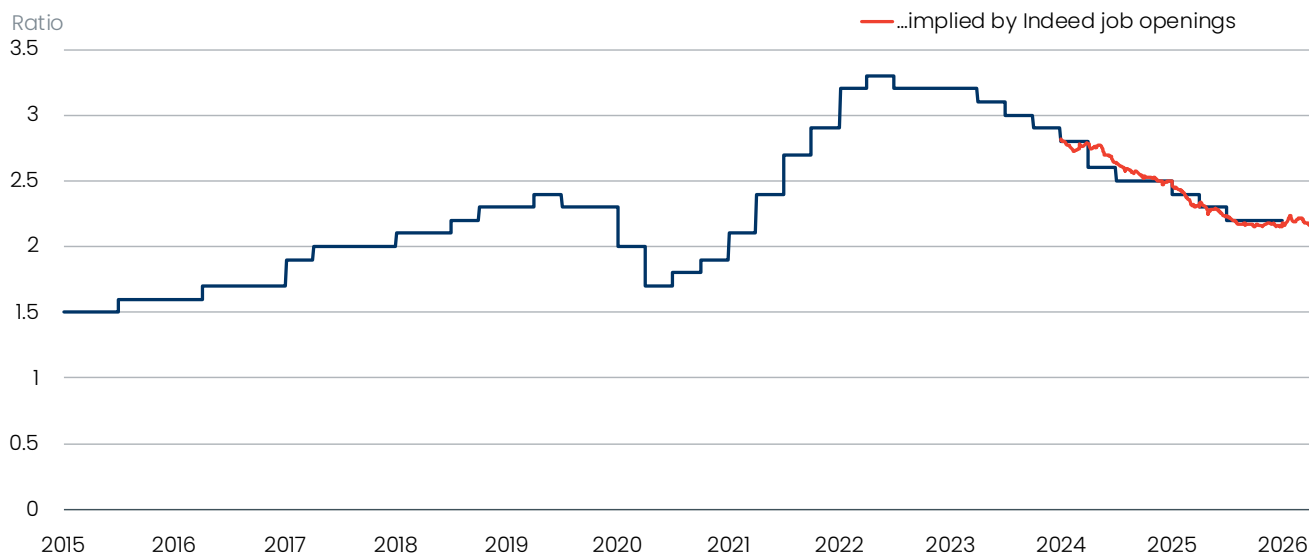
The evidence on the third policy driver, the scale of feed-through to underlying inflation, is mixed but also doesn't argue for an imminent policy response. Core inflation even eased a little in March and we expect the preliminary reading for April, due ahead of the council meeting, to remain benign as well. We suspect that any early feedthrough of surging energy prices to consumer prices, for instance via higher airfares, will be offset by the early Easter this year. The latter is a technical effect from the fact that statistical authorities tend to collect prices later in the month. The available April surveys also show contained passthrough. Input prices continued to rise sharply according to the PMIs, but output prices much less so especially as regards services, which tend to have a larger weight in consumer baskets. But either way, it tends to take some time for cost pressures to feed through to broader consumer prices, so soft core inflation readings and price surveys now won't tilt the eventual ECB response.

A key question for the outlook for underlying inflation and second-round effects will be the labour market response. Surveyed hiring intentions as well as high-frequency measures of labour demand ([Chart 4](#)) point to a moderate softening of the labour market already, compared to the ongoing strength in the early months of the 2022 energy price shock. On its own, that should undermine the degree to which workers can bargain for higher

wages. But at the same time labour shortages remain elevated as demographics curtail labour supply and wages tend to respond with a lag to higher inflation.

Chart 4: Labour demand is already softening, but no sign of sharp unemployment gains

Eurozone: Job vacancy rate



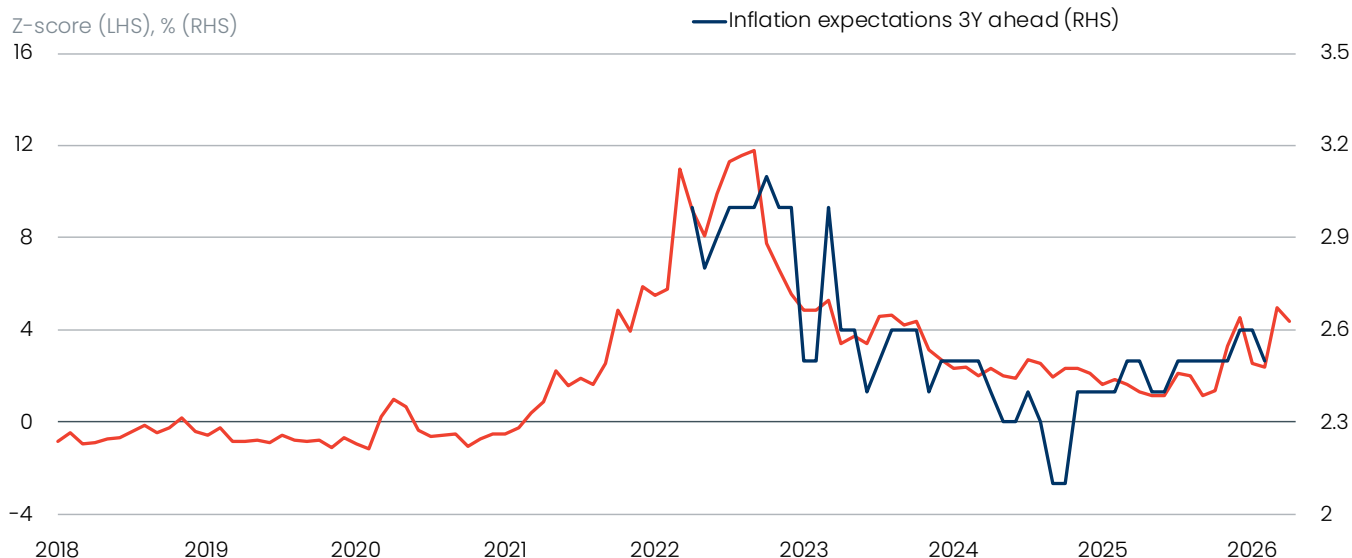
Sources: Oxford Economics, Haver Analytics

Real-time proxies of consumer inflation expectations underscore ECB's worries

Probably the most preliminary but also most concerning is the evidence on the fourth aspect. And it is also the one the ECB is likely most worried about. Our high frequency measure points to a significant rise in consumer inflation expectations to a three-year high ([Chart 5](#)). This underscores the finding of our [recent work](#), showing that inflation expectations across a variety of indicators respond more quickly and strongly to cost pressures now than before 2022.

Chart 5: Medium-term inflation expectations have likely already risen somewhat

Eurozone: Consumer inflation expectations



Sources: Oxford Economics, Haver Analytics, Google Trends

The ECB's own data on consumer inflation expectations for March is due ahead of the council meeting, but it is unlikely to fully reflect the latest dynamic given the ongoing conflict and sharp rises in fuel prices since. Market-based measures of medium-term inflation expectations have also risen but show a much less significant increase than in 2022. This buys the ECB some time to continue to see how the conflict unfolds.

Too early for ECB to act, but we think council will err on side of precautionary rate hikes

Overall, we think that none of the key factors that are currently driving the ECB policy response is flashing red, warranting an immediate policy response. The starting position of the economy is much more benign than in 2022 in terms of inflationary risks with monetary and fiscal policy neutral or contractive. There are no excess savings being splurged and early evidence suggests more front-loaded economic pain. Meanwhile, the initial cost push shock is an order of magnitude smaller as of now. All this argues for a continued wait-and-see mode and no policy move in April.

However, the energy shock could easily expand, unless energy exports from the Middle East begin recovering soon. Moreover, there is initial evidence that inflation expectations are rising, risking that the initial cost push shock will be amplified feeding through to wages and underlying price pressures. Even if a like-for-like repeat of 2022 looks very unlikely right now, this only caps the scale of the policy response but doesn't negate it. After all, the ECB's own policy strategy review argued that early, cautious policy responses may be the appropriate policy response in a world of more frequent supply shocks.

We think this assessment is also broadly reflected in recent ECB communication. As ECB president Christine Lagarde put it: the "double uncertainty about the duration of the shock and the breadth of pass-through argues for gathering more information before drawing firm conclusions for our monetary policy". At the same time, a reading of recent council [comments](#) shows a pervasive bias that if anything policy tightening lies in the immediate future. In contrast, there is little talk of the sharp disinflation that may follow the immediate energy price surge or the economic costs that loom.

Against this backdrop, we think that the ECB will signal that rate hikes are clearly on the table in upcoming meetings, even if there won't be any clear commitment, with the council sticking to its meeting-by-meeting approach. Unless the conflict shows clear signs of easing by mid-year, we think this will result in rate hikes in June and July.